

- **Child Tax Credit.** You can take a tax credit of up to \$1,000 in 2009 for each dependent child who's under 17 at the end of the tax year, including stepchildren and foster children. The credit begins to phase out for singles with incomes over \$75,000 and married couples earning more than \$110,000. You can find more about this in IRS Publication 17, *Your Federal Income Tax*.
- **Earned Income Credit.** In 2009, if you're at least 25 and earn less than \$13,440 (and no one can claim you as a dependent) you may be eligible for this special tax break. If you have a child, you must earn less than \$35,463 to qualify; if you have two or more children, you must earn less than \$37,783. To find out if you're eligible, see the instruction booklet that comes with your tax forms, Schedule EIC, or go to the IRS website (www.irs.gov) and search for "Earned Income Tax Credit."
- **Child Care Credit.** If you pay someone to take care of your child while you (and your spouse, if you're married) work, the IRS allows you to subtract as much as 35% of your child care expenses (up to \$3,000 for one child, or \$6,000 for two or more) from your tax debt. For details, go to www.irs.gov and search for Publication 503, *Child and Dependent Care Expenses*. In order to get the credit, you will have to pay your sitter totally by the book—that means you have to pay the required employment taxes, such as Medicare and Social Security, for your child care worker. For details, contact 800-TAX-FORM (www.irs.gov) and get a copy of Publication 926, *Household Employer's Tax Guide*.
- **Adoption Credit.** If you adopt a child, you're allowed a credit for up to \$12,150 of specified adoption expenses.
- **Saver's Credit.** This special credit is to encourage people with somewhat lower incomes to save for retirement. If you make less than \$27,750 as a single person or \$55,000 as a married couple filing jointly in 2009, a little known but potentially helpful benefit is that you can get a credit of up to